

Meeting challenges

Innovation is about adapting to an environment that is always turbulent and often hostile. It is not enough for a manager simply to cope with today's challenges—you need to be thinking about the challenges that will face your organization in the near future.

Expecting the unexpected

Like human beings, organizations tend to view the world in terms of what they expect. Contemporary business is extremely complicated, and seemingly distant changes can suddenly turn out to have a huge impact close to home, as the 2008–09 global financial crisis amply demonstrated. While, for the most part, your organization can rely upon established models, radical changes in the business environment do sometimes occur, and innovation is essential to coping with them. It is vital for the innovative manager to consider not only how to innovate when things are going well, but also when they are going badly. Some current factors that have the potential to upset established business models include:

- Climate change
- Sustainability of energy, and waste disposal
- Increase in digital commerce and telecommunications
- Social trends such as an aging population in western Europe and the US
- Shift in economic power to emerging markets
- The rise of consumerism in developing nations, especially those with large populations

